

EXAMPLE: The record books will show that Tri-Continental Corp. warrants, which date from 1929, sold at a negligible $1/32$ of a dollar each in the depth of the depression. From that lowly estate their price rose to a magnificent $75 \frac{3}{4}$ in 1969, an astronomical advance of some 242,000%. (The warrants then sold considerably higher than the shares themselves; this is the kind of thing that occurs on Wall Street through technical developments, such as stock splits.) A recent example is supplied by Ling-Temco-Vought warrants, which in the first half of 1971 advanced from $2\frac{1}{2}$ to $12\frac{1}{2}$ —and then fell back to 4.

No doubt shrewd operations can be carried on in warrants from time to time, but this is too technical a matter for discussion here. We might say that warrants tend to sell relatively higher than the corresponding market components related to the conversion privilege of bonds or preferred stocks. To that extent there is a valid argument for selling bonds with warrants attached rather than creating an equivalent dilution factor by a convertible issue. If the warrant total is relatively small there is no point in taking its theoretical aspect too seriously; if the warrant issue is large relative to the outstanding stock, that would probably indicate that the company has a top-heavy senior capitalization. It should be selling additional common stock instead. Thus the main objective of our attack on warrants as a financial mechanism is not to condemn their use in connection with moderate-size bond issues, but to argue against the wanton creation of huge “paper-money” monstrosities of this genre.

* Graham detested warrants, as he makes clear on pp. 413–416.

* Graham is pointing out that, despite the promotional rhetoric that investors usually hear, convertible bonds do not automatically offer “the best of both worlds.” Higher yield and lower risk do *not* always go hand in hand. What Wall Street gives with one hand, it usually takes away with the other. An investment may offer the best of one world, or the worst of another; but the best of both worlds seldom becomes available in a single package.

† According to Goldman Sachs and Ibbotson Associates, from 1998 through 2002, convertibles generated an average annual return of 4.8%. That was considerably better than the 0.6% annual loss on U.S. stocks, but substantially worse than the returns of medium-term corporate bonds (a 7.5% annual gain) and long-term corporate bonds (an 8.3% annual gain). In the mid-